

Pierre had a positive net worth, but that all his assets were untouchable. He had equity in his car but didn’t want to sell it. He rationalized it would not make any sense to do so since he would have to buy a replacement car to get to his new job. He tried to obtain a second mortgage on his condominium, but couldn’t qualify since he was unemployed. His other assets were a savings and checking account with balances almost at zero.

Jillian remembered the water containers in the garage. Pierre was skeptical as to how much money they contained. He was not too hopeful that the little amount of change would amount to anything. Jillian decided to take the containers to the bank anyway to have the coins counted. When she returned home, to Pierre’s astonishment, she presented him with \$500! They were amazed that the change that he hardly missed could have amounted to that sum in just a year’s time.

Pierre found a job in three months. As soon as he started working, he opened a savings account. He now realized that even small amounts saved can add up. He also understood it was important to save accessible money for those life events that can and do come up. A retirement fund is a safety net for the future, but it is just as important to have a safety net for the present. Remember that by putting money into a retirement account only, this money cannot usually be withdrawn without substantial penalty before age fifty-nine and one-half. By setting aside an emergency fund (equal to at least three months of your total living expenses), this fund will serve as an excellent savings safety net.

Accessible savings are needed not only for emergencies, but also for both short- and long-term goals. The 70-20-10 Rule shows how you can successfully divide your money into amounts saved for retirement, emergencies, and goals. To follow the 70-20-10 Rule, divide your net income in the following manner:

